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Protecting ROE as the book doubles

An outside-in view of HomeFirst's value tree, its competitive position and where AI can move return on equity, prepared from public disclosures to Q2 FY27

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As the book doubles, HomeFirst's surplus equity gets put to work; return on assets and productivity become the risks

1	**ROE is temporarily diluted by surplus equity** ROA of 4.2% is solid for a 5% spread lender. ROE is 14.9% because the ₹1,250 Cr QIP in FY26 lowered leverage to 3.6x.	**Implication** ROE recovers as the equity is deployed, provided ROA holds.
2	**Doubling the book deploys that capital** At 25% growth, AUM doubles by FY29 and reaches 2.4x by FY30. Retained earnings grow about 14–16% a year, so leverage rises to about 4.5x and ROE to about 18%. On the stated capital assumptions, neither case indicates a near-term equity requirement.	**Implication** The board's question shifts from capital to the quality and cost of growth.
3	**Return on assets and productivity carry the risk** Debt-funding the larger book costs about 35 bps of ROA by FY30; the insurance rule up to 35 bps more. In a downside case ROE stays near 15%. Disbursals must rise 2.4x, at flat output per employee.	**Implication** Protecting return per rupee, and output per employee, decides which case HomeFirst lands in.

To validate inside HomeFirst: yield and credit cost by segment and channel; cost and early default by connector; how quickly management sees plan against actual by lever.

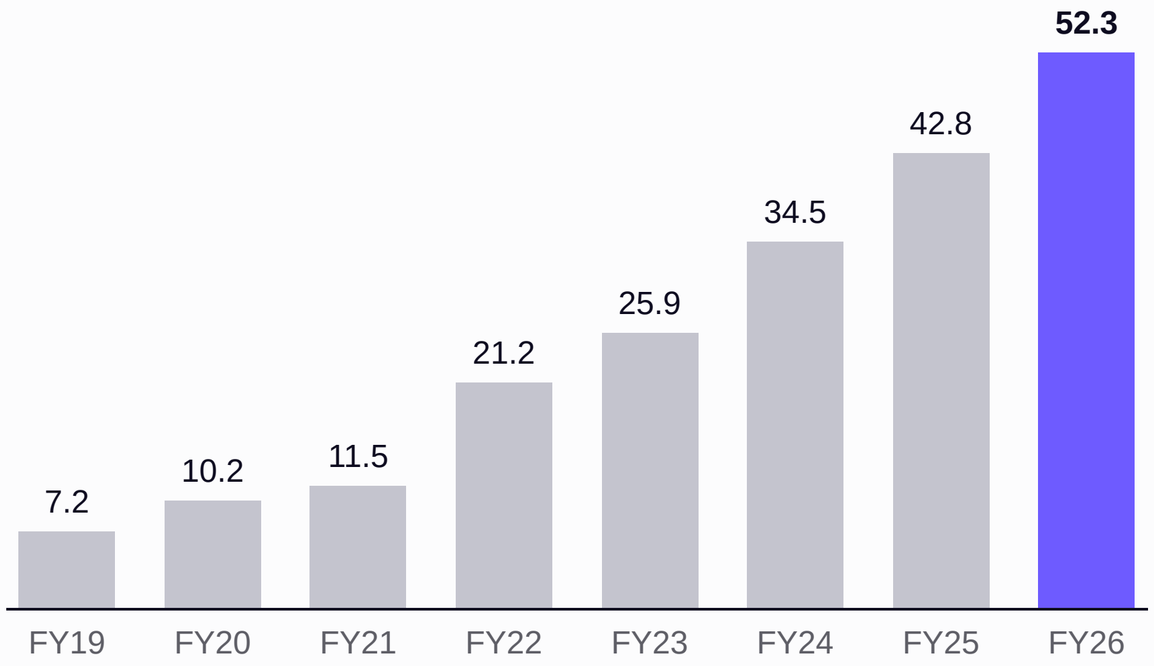
Source: HomeFirst Q2 FY27 investor presentation, results and earnings call; FY26 Integrated Annual Report; Aistra outside-in model (appendix A3–A4). Financial data to 30 Sep 2026 (Q2 FY27); market data and management commentary to 28 Oct 2026.

Contents

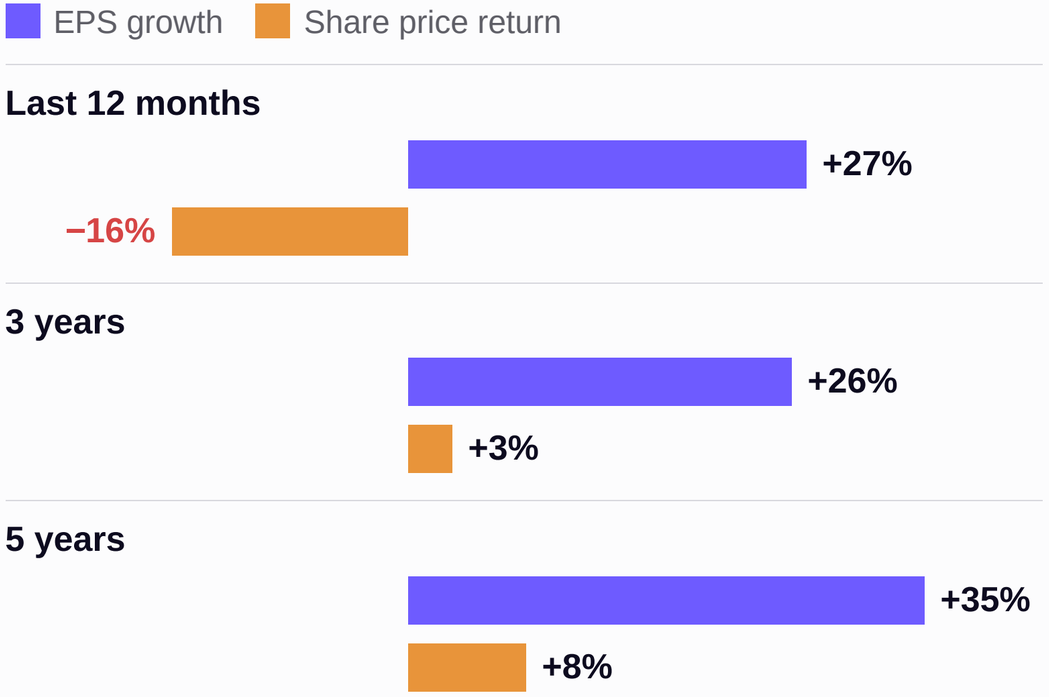
01	**Starting point**	Shareholder returns and where growth will come from	4
02	**How the ROE model works**	ROA, leverage and the FY26 equity raise	6
03	**As the book doubles**	Returns and capital to FY30, base and downside	10
04	**Peers**	What business models explain the return gap	12
05	**Hypotheses to test**	What HomeFirst has built and what public data cannot show	14
06	**Where Aistra could add value**	Incremental capacity and three candidate pilots	15
07	**Proposed decision**	A focused diagnostic	17
A	**Appendix**	Sources, sensitivity basis, model and capital assumptions, peer and proposal detail	18

EPS has compounded at 26–35% a year, but the share price has returned 3–8% a year and fallen 16% in the past year

Earnings per share, ₹



EPS growth against share price return, % a year

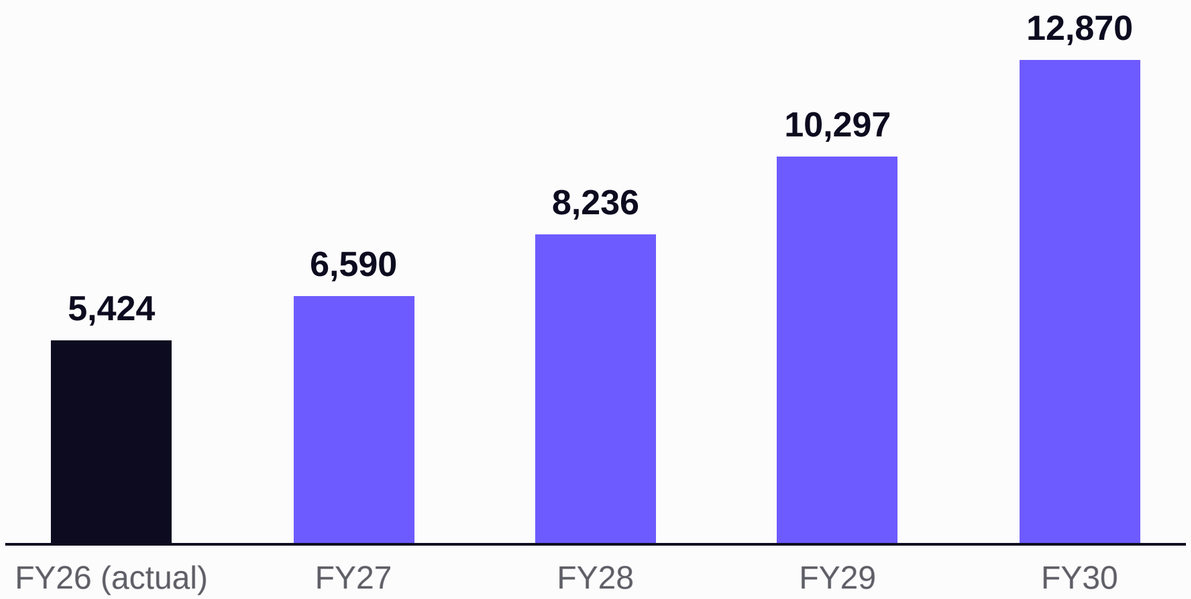


The gap points to a lower earnings multiple. Periods differ (EPS on financial years, price to October 2026), so its size is approximate.

Source: company basic EPS for FY25–FY26 (S1 slide 41); earlier years and price returns from Screener, to 28 Oct 2026. EPS growth: 3 years = FY23–FY26, 5 years = FY21–FY26, last 12 months = TTM to Sep 2026 vs prior TTM; price returns to 28 Oct 2026, so periods are not aligned. FY22 EPS includes a one-time deferred tax reversal. Price return excludes dividends (yield about 0.5%).

Doubling the book needs 2.4x the disbursals by FY30; at today's output per employee, that is about 3,700–4,200 staff against 2,014

Disbursals needed for 25% AUM growth, ₹ Cr a year



Needed disbursals = growth in AUM + 16.5% run-off of opening AUM (management assumes 16–17%; FY26 implied 17.8%, Q2 FY27 annualised 14.9%).

Where growth comes from

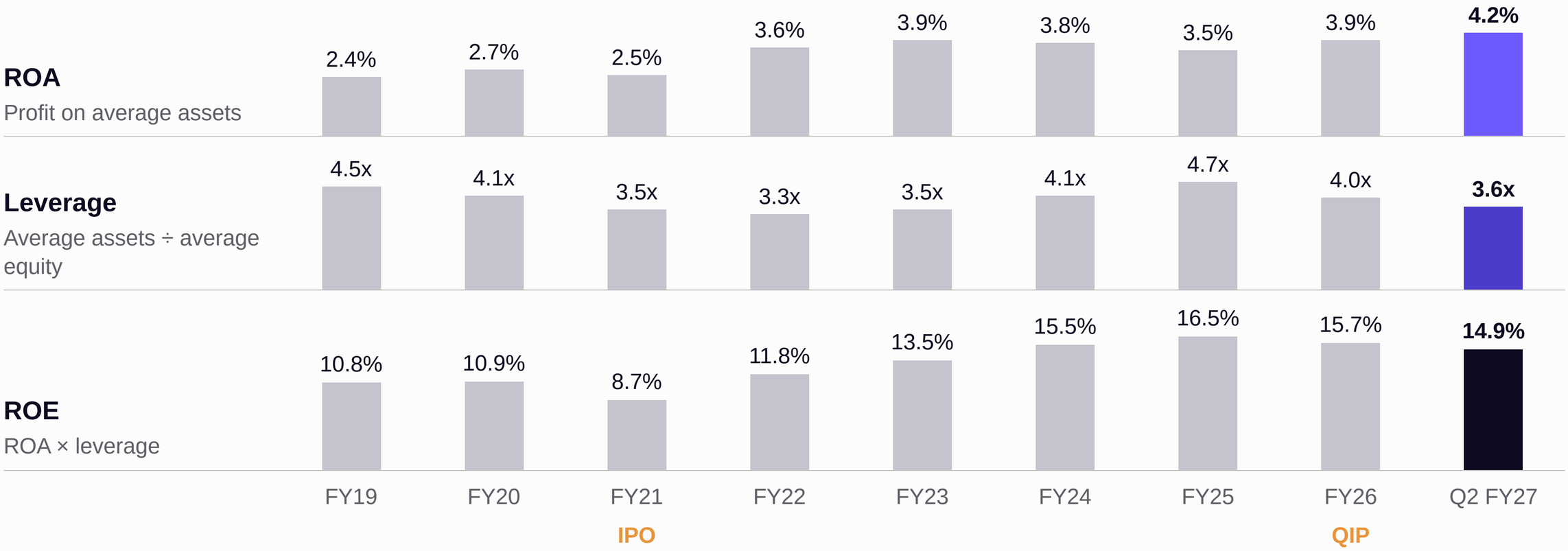
Ticket size	New loans average ₹15–16 lakh against ₹12.3 lakh on the book; loans above ₹25 lakh rose from 14% to 18% of the book in a year
Volume	About half of disbursal growth; Madhya Pradesh rose from 9.1% to 11.2% of AUM in a year
New markets	UP, Tamil Nadu, Andhra Pradesh and Telangana; 20–25 branches a year, 62 more in the network plan

What could constrain it

Productivity	Disbursal per employee about ₹3.1–3.5 Cr a year, broadly flat for three years; attrition 32.8%
Southern markets	Self-construction lending disburses in stages, so growth turns slowly; Tamil Nadu fell from 12.1% to 10.0% of AUM

Source: HomeFirst Q2 FY27 investor presentation; Q1 and Q2 FY27 earnings calls; FY26 Integrated Annual Report (attrition). Staff range: FY30 disbursals ÷ ₹3.5 Cr (CEO figure) and ÷ ₹3.1 Cr (TTM disbursals ÷ current employees).

ROA has risen from 2.4% to 4.2% since FY19; ROE has stayed below 17% because each equity raise cut leverage



Source: HomeFirst investor presentation Q2 FY27, ten-year summary and ROE tree. FY22 ROA and ROE adjusted for the one-time deferred tax reversal. IPO February 2021 (FY21); QIP ₹1,250 Cr (FY26).

Asset returns have improved; the equity raise has temporarily diluted ROE

Return on equity
14.9%
Target: 15% exit FY27, 16% exit FY28

Return on assets
4.2%

	Total income	**13.9%**	Loans 11.5%, loan sales 0.9%, fees, treasury and other 1.5%
–	**Funding expense**	**5.5%**	Cost of borrowing 7.8%; 10 bps on borrowing cost = ₹8.8 Cr PAT
–	**Opex**	**2.6%**	Cost-to-income 30.8%; 10 bps of assets = ₹12.5 Cr PAT
–	**Credit cost**	**0.4%**	Gross Stage 3 1.7%; 10 bps of assets = ₹12.5 Cr PAT
–	**Tax**	**1.2%**	Effective rate about 23%

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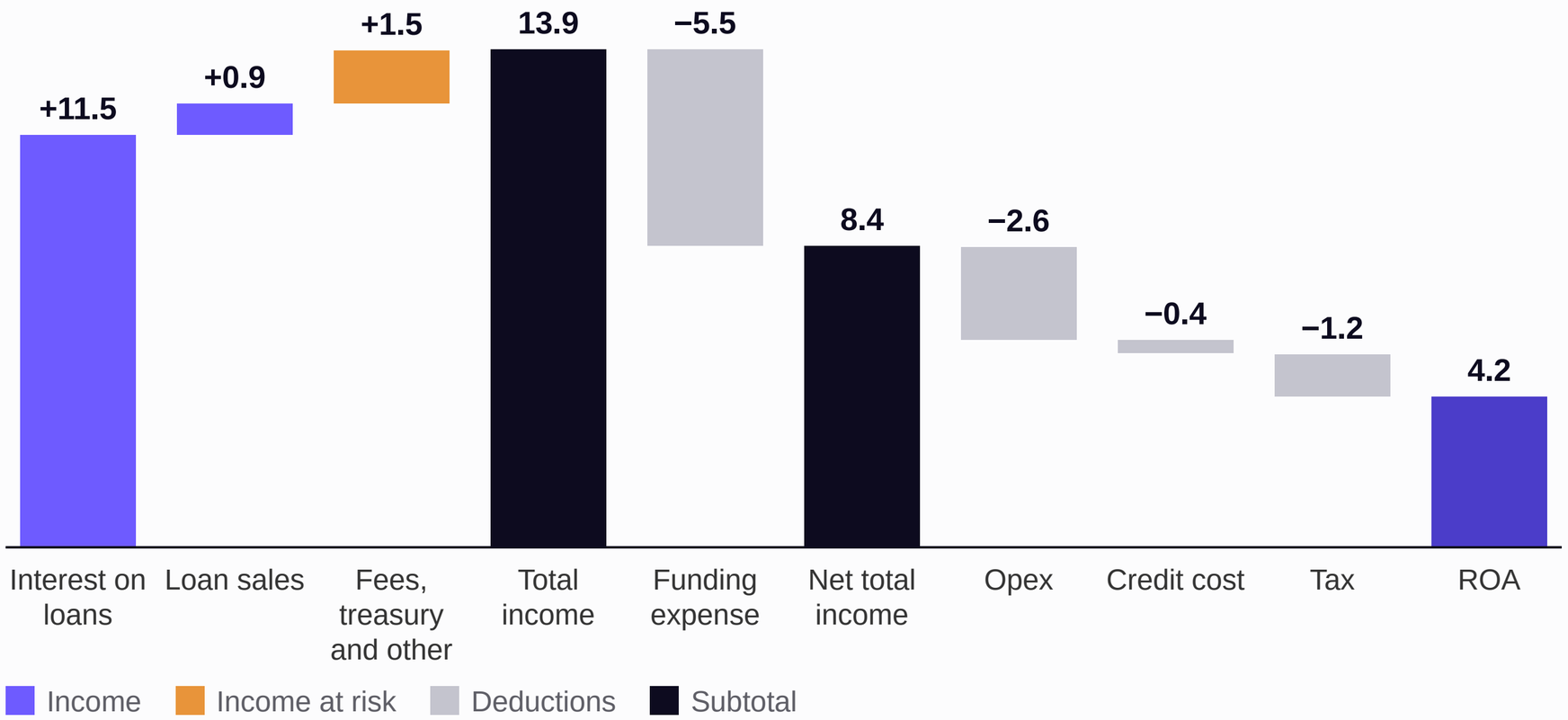
Leverage
3.6x

	Average assets ÷ average equity	**3.6x**	4.7x in FY25, before the QIP
	Capital adequacy (CRAR)	**39.8%**	Regulatory floor 15%; covenant floor 20%

Source: HomeFirst Q2 FY27 investor presentation, ROE tree (ratios to average total assets, annualised); Q2 FY27 call for targets. Unrounded, ROA 4.16% × leverage 3.58x = 14.9%; multiplying the rounded figures gives 15.1%. Sensitivity basis in A2.

Of the 13.9% HomeFirst earns on its assets, funding, opex, credit losses and tax take 9.7 points, leaving ROA of 4.2%

% of average total assets, Q2 FY27 annualised



Fees, treasury and other is the exposed line

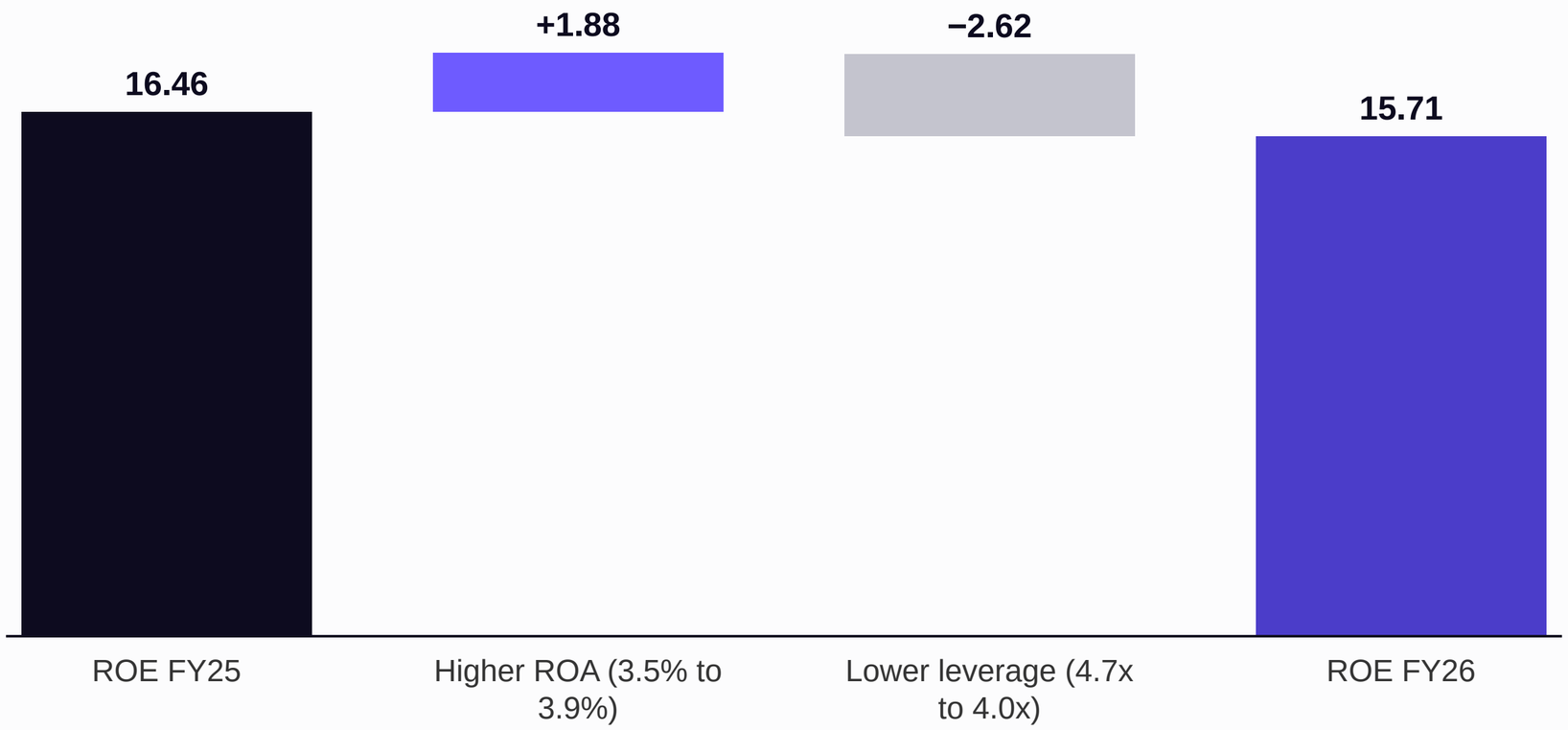
Fees include insurance commission, earned since August 2024. FY26 fees rose 83% to ₹83 Cr.

Management sizes the draft insurance rule at about **35 bps of post-tax ROA**, roughly 45 bps pre-tax, or 30% of this bar.

Source: HomeFirst investor presentation Q2 FY27, ROE tree; FY26 Integrated Annual Report (fee income); Q2 FY27 earnings call (insurance rule impact). Totals may not add due to rounding.

In FY26 ROA rose 43 bps, yet ROE fell 75 bps because the ₹1,250 Cr QIP cut leverage from 4.7x to 4.0x

ROE, %



The business improved
ROA rose 43 bps on cheaper funding and operating leverage, worth +1.88 points of ROE.

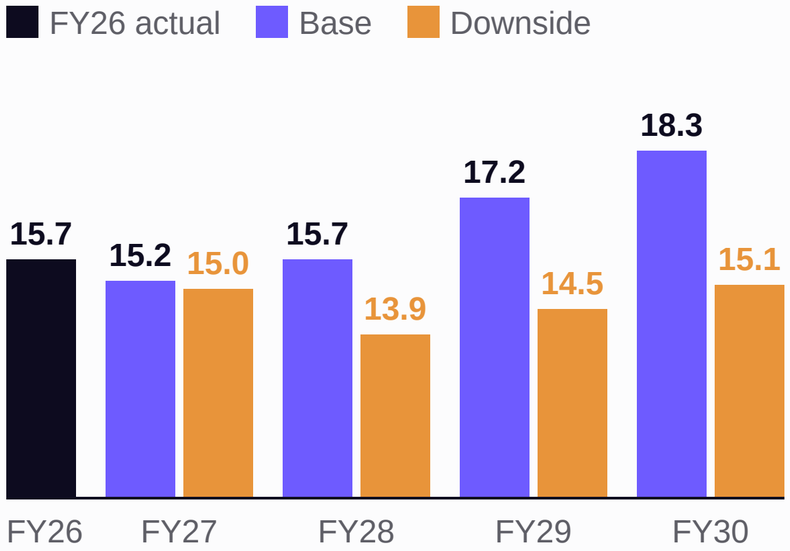
The capital base grew faster
The ₹1,250 Cr QIP lifted net worth from ₹2,521 Cr to ₹4,357 Cr. Lower leverage cost 2.62 points of ROE.

Management's own view
FY26 ROE before the new money was 16.8%, against 15.7% reported (method not disclosed).

Source: HomeFirst investor presentation Q2 FY27 (ROA, leverage, ROE); FY26 Integrated Annual Report (pre-money ROE 16.8%). Symmetric attribution on unrounded values: ROA effect = ΔROA × average leverage (+1.88); leverage effect = Δleverage × average ROA (−2.62). Values to two decimals; they sum exactly.

As the book doubles, ROE rises towards 18% in the base case and stays near 15% in the downside; neither case indicates a near-term equity need

ROE, % (axis starts at 10%)



Base case	FY26	FY28	FY30
AUM, ₹ Cr	15,878	24,809	38,765
ROA, % (average)	3.9	4.0	4.0
Leverage, x (average)	4.0	4.0	4.5
ROE, %	**15.7**	**15.7**	**18.3**
Equity ÷ assets, % (closing)	28.7	24.3	21.5
CRAR, %*	44.1	36	32
Downside case	**FY26**	**FY28**	**FY30**
ROA, % (average)	3.9	3.7	3.6
ROE, %	**15.7**	**13.9**	**15.1**
Equity ÷ assets, % (closing)	28.7	25.9	23.5
CRAR, %*	44.1	38	35

**FY26 reported; later years indicative at Sep 2026 risk-weight density (A4).*

Source: Aistra outside-in model (assumptions A3, capital method A4), on rounded published ROA and 23% tax. Base: 25% AUM growth, insurance rule net of concession and mitigation, opex −10 bps a year. Downside: 20% growth, no concession, +20 bps credit cost, −10 bps spread

ESTIMATE

Structural funding drag: debt-funding the larger book costs 23–35 bps of ROA by FY30; opex gains offset most of it in the base case only

Change in post-tax ROA, percentage points, FY27 to FY30

Base case

ROA today (Q2 FY27)	**4.20%**
Debt-funding the larger book	−0.35
Insurance rule, net	−0.05
Opex −10 bps a year	+0.23
Credit cost	0.00
Spread	0.00
ROA FY30	**4.04%**

Downside case

ROA today (Q2 FY27)	**4.20%**
Debt-funding the larger book	−0.23
Insurance rule, net	−0.25
Opex −5 bps a year	+0.12
Credit cost +20 bps	−0.15
Spread −10 bps	−0.07
ROA FY30	**3.62%**

Why funding drag appears: equity funds about 28% of assets today at no interest cost. As the book grows faster than retained earnings, that falls to 21–24%, and the difference is borrowed at about 7.8%. This is the integrated version of the leverage effect: higher leverage lifts ROE but lowers ROA.

Source: Aistra outside-in model (appendix A3), on rounded published ROA (4.2%) and 23% tax; the prototype uses reconciled average assets of ₹16,381 Cr and 23.4%. A long-run balance-sheet effect, distinct from the prototype's short-term rate-transmission scenario.

Higher-ROE peers lend to more self-employed borrowers at higher yields, accept slightly higher credit costs and run less leverage

Lender	Period	Self-employed borrowers	Typical ticket	Spread	Credit cost	ROA	Leverage	ROE
HomeFirst	Q2 FY27	32%	₹12.3 L	5.2%	0.4%	4.2%	3.6x	14.9%
Aavas	Q2 FY27	62%	n.d.	5.0%	0.24%	3.3%	4.2x	13.6%
Aadhar	Q1 FY27	n.d.	n.d.	5.8%	0.4%	4.0%	3.7x	14.7%
India Shelter	Q1 FY27	majority	about ₹10 L	6.6%	0.5%	5.8%	3.0x	17.5%
Aptus	Q1 FY27	majority	about ₹10 L	9.0%	0.5%	7.8%	2.6x	20.4%

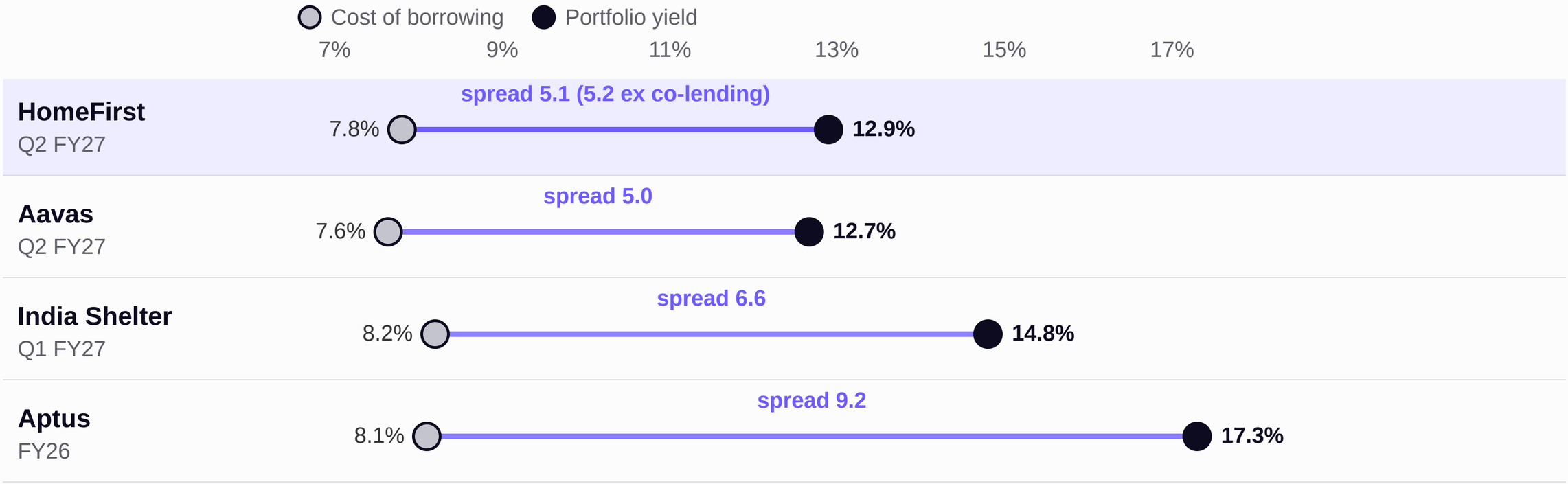
Higher ROE comes with a different borrower
India Shelter and Aptus lend mostly to self-employed borrowers at smaller tickets, earning 1.4–3.8 points more spread.

They pay for it in risk and run lower leverage
Credit costs are slightly higher and leverage is 2.6–3.0x; their ROE comes from ROA, not balance-sheet stretch.

The question for HomeFirst
Which of these practices fit a 68% salaried, 84% home-loan franchise without changing its risk profile?

Source: company results, investor presentations and calls; periods differ as shown. Leverage: HomeFirst as published (3.6x); peers ROE ÷ ROA. Self-employed share for India Shelter and Aptus stated as a majority, not quantified, in disclosures; n.d. = not disclosed.

Funding costs are within about 0.6 point across the group; the spread gap comes from yield, which reflects who each lender serves



Higher yields at India Shelter and Aptus pay for self-employed borrowers, smaller tickets and higher servicing and credit costs. Segment pricing can recover part of the gap only where HomeFirst can price for risk it already carries.

Source: company results. Aptus yield is FY26 (17.3%) and cost of borrowing Q4 FY26 (8.1%), the latest disclosed; its reported spread is about 9.0%. Spreads shown are company-reported except Aptus (computed). Aadhar excluded: yield and cost not disclosed.

HomeFirst's underwriting and servicing tools are deployed at scale; public data cannot show how collections, pricing and finance perform

Area	Evidenced in public disclosures	What public data cannot tell us	Test in a diagnostic
Underwriting	ClariFi, BankLens and DocIQ on 100% of files; 87% of loans approved within 48 hours	Why the 48-hour share fell from 91% (FY23) to 87%	Turnaround by stage and file type
Customer communication	Cue handles 95% of calls in seven languages	How Cue data is used beyond servicing	Map Cue signals to later delinquency
Collections	Automated soft-collection calls; October bounce 16.6%, attributed to calendar effects	Roll rates by cohort, branch and channel	Roll-rate baseline; early-warning back-test
Connector sourcing	77% of leads from about 4,400 connectors; 94% on the app	Payout cost (inside yield) and early default by connector	Connector cost and quality league table
Pricing and repricing	Spread held at 5.0–5.25%; repricing after a 10–15 bps funding move	Yield and credit cost by segment; repricing lag	Segment price-risk map; repricing timing study
Finance and MIS	ROE tree published quarterly; turnaround, cohort and channel dashboards	How quickly plan against actual is seen by lever	Reconcile a value tree to the October MIS pack

Source: HomeFirst Q2 FY27 investor presentation; Q1 and Q2 FY27 earnings calls. Middle column lists questions, not conclusions: HomeFirst may already answer them internally.

Aistra would add build capacity, a finance view linked to ROE, and a measured baseline to HomeFirst's own AI programme

Build capacity

Forward Deployed AI Pod

- Five roles inside HomeFirst's platform and model-governance gates
- Works the pilots on slide 16 alongside HomeFirst's Phase 1–3 roadmap
- Each build has a named HomeFirst owner and transfers when it meets its target

A finance view linked to ROE

Value Tree Studio

- The tree in this document, rebuilt on HomeFirst's data and refreshed daily
- Cuts by branch, connector, product and cohort; plan against actual by lever
- Uses existing source systems and adds a financial modelling and analysis layer

A measured baseline

Common to both

- Each pilot starts with a baseline, holdout and target agreed with the CFO
- Benefits counted once, net of what management's plan already assumes
- Credit decisions stay with HomeFirst's underwriters

What stays HomeFirst's: its models, its roadmap, its credit policy and every decision on a loan.

Source: Aistra Value Tree Studio specification and Aistra Talent operating model; HomeFirst Q2 FY27 investor presentation (AI roadmap, model governance). Detail in appendix A11–A13.

TO VALIDATE

Three pilots target the largest levers; two are sized at ₹8–18 Cr of steady-state annual PAT potential before implementation costs

1 Segment pricing

Hypothesis. Segment pricing earns 5–10 bps more on new disbursals without raising defaults; repricing timing is tested, not sized.

Baseline. Yield and early default by segment on new disbursals.

New disbursals of ₹6,600 Cr a year (₹3,300 Cr average in year one); whole ₹14,560 Cr book after about three years (illustrative ramp). 5–10 bps × ₹14,560 Cr = ₹7.3–14.6 Cr pre-tax

₹5.6–11.2 Cr PAT, steady state

Test. Price test on new disbursals in matched segments; repricing replayed on the 2026 rate path.

2 Collections early warning

Hypothesis. Predicting bounces before the EMI date cuts roll-forward into 30+ days.

Baseline. Roll rates 1+ to 30+ to Stage 3 by cohort and branch.

5–15% × ₹62 Cr annual credit cost = ₹3.1–9.2 Cr pre-tax

₹2.4–7.1 Cr PAT, steady state

Test. Holdout branches: two cycles test accuracy and early roll rates; a lasting fall in credit cost needs about 12 months of vintages.

3 Connector economics

Hypothesis. Payout and early-default differences across connectors are large enough to act on.

Baseline. Payout cost by connector, reflected in yield, and subsequent credit performance.

Not sizeable from public data: payout cost is not disclosed

Sized in the diagnostic

Test. Connector league table; trial revised payout terms with a subset.

Year one (planning assumption): pricing ₹1.3–2.5 Cr; collections about a third.

Before cost: Pod and build costs priced in the diagnostic.

Counted once: the treasury and ALM hypothesis sits inside pilot 1.

Source: Aistra estimates (A9) on the Q2 FY27 ROE tree: average assets ₹16,381 Cr, loans 88.9% of assets, credit cost ₹15.4 Cr in Q2 annualised, tax 23.4%

One decision: a 4–6 week diagnostic that reconciles the value tree to HomeFirst's data and sizes the three pilots

Outputs at week 6

1. **Value tree on HomeFirst's data**
   Reconciled to the October MIS pack and the Q2 FY27 published ratios
2. **Baselines for the three pilots**
   Agreed metric, holdout design and data-readiness verdict for each
3. **Sized business case per pilot**
   Benefit, cost, ramp and owner, net of management's plan
4. **A go or no-go recommendation**
   For each pilot, reviewed with the CFO

Success criteria

Tree reconciles
Every published ratio within ±0.05 point, or the gap explained

Owners named
A HomeFirst owner and target for each pilot that goes ahead

Case accepted
CFO signs off the baseline method before any build starts

Asked of HomeFirst: a CFO sponsor, the October MIS pack and initial sessions with IT and risk; further data-owner support agreed at kick-off.

Detailed schedule, owners and dates in appendix A14. Diagnostic scope and fee to be agreed.

APPENDIX

Sources, method and detail

A1 Sources and definitions · A2 Sensitivity basis · A3 Model assumptions · A4 Capital method and sensitivity · A5 Two supports under the margin · A6 Peer KPIs · A7 Peer practices · A8 Six areas to investigate · A9 Pilot arithmetic · A10 Further hypotheses · A11 Studio architecture · A12 Studio screen · A13 Pod structure · A14 Diagnostic schedule

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Sources and definitions

Source	Used for	Basis and caveats
HomeFirst Q2 FY27 investor presentation and results, 27 Oct 2026	AUM, PAT, ROE tree, asset quality, AI tools	Ratios to average total assets, annualised; NII on company basis (₹246 Cr), press figure ₹267 Cr
Q1 and Q2 FY27 earnings calls, 28 Jul and 28 Oct 2026	Targets, spread band, rates, insurance rule	Automated transcript for Q2; management estimates, not guidance
FY25 and FY26 Integrated Annual Reports	History, attrition, fee income, QIP	FY22 adjusted for one-time deferred tax reversal
Peer results, presentations and calls	Peer ratios	Periods differ: HomeFirst and Aavas Q2 FY27, others Q1 FY27; opex bases differ
Screener, 28 Oct 2026	EPS FY19–FY24, price returns	Price returns exclude dividends
Aistra analysis	Doubling model, sensitivities, pilot sizing	Outside-in; to be validated on HomeFirst data

One sensitivity basis is used throughout: denominator, tax and ROE conversion stated for each lever

Change	Applied to	Pre-tax ₹ Cr	PAT ₹ Cr	ROA, bps	ROE points at 3.58x
10 bps on average assets (opex, credit cost, fees)	₹16,381 Cr	16.4	12.5	7.7	0.27
10 bps of post-tax ROA (insurance rule)	₹16,381 Cr	21.4	16.4	10.0	0.36
10 bps on loan yield	₹14,560 Cr loans	14.6	11.2	6.8	0.24
10 bps on borrowing cost	₹11,530 Cr borrowings	11.5	8.8	5.4	0.19
Insurance rule after concession, before mitigation: 20–25 bps of ROA	₹16,381 Cr	43–53	33–41	20–25	0.7–0.9
Leverage +0.5x at constant ROA (static)	Equity	–	–	–	+2.1

Annual figures on Q2 FY27 average balances (reconciled, register R15–R21). Tax 23.4%, the Q2 effective rate. ROE points = ROA change × 3.58x. The leverage line is a static sensitivity; slide 11 shows the integrated effect, where higher leverage also lowers ROA.

Source: HomeFirst Q2 FY27 ROE tree (average assets ₹16,381 Cr; interest-earning loans 88.9% and interest-bearing borrowings 70.4% of average assets).

Model assumptions for the doubling scenarios

Assumption	Base	Downside	Basis
AUM growth a year	25%	20%	Management target 25%
Total assets ÷ AUM	95%	95%	Sep 2026: ₹17,185 Cr ÷ ₹18,010 Cr; loan sales and co-lending held off-book
Dividend payout	10%	10%	FY26 practice
Insurance rule, bps of ROA	−35 gross, +10 concession, +20 mitigation by FY29	−35 gross, no concession, +10 mitigation	Q2 FY27 call; rule assumed effective FY28
Opex, pre-tax bps of assets	−10 a year	−5 a year	Management target −10 bps a year
Credit cost, spread	Unchanged	+20 bps credit; −10 bps spread from FY28	Downside stress
Funding drag	Fall in equity share × 7.8% × (1 − 23%)	Same	Cost of borrowing Q2 FY27
Risk-weighted assets ÷ total assets	68%, sensitised to 80% in A4	68%	Implied by 39.8% CRAR at Sep 2026; regulatory capital approximated by net worth (A4)

Source: Aistra outside-in model. Not a forecast. Return ratios use average balances; capital ratios use closing balances.

Capital headroom is indicative: under the stated assumptions and a range of risk weights, neither scenario indicates a near-term equity requirement

1 Regulatory capital

Approximated by accounting net worth. Actual Tier 1 deducts items such as intangibles and deferred tax assets, which are not disclosed in enough detail to model. At Sep 2026, Tier 1 was 39.4% and total CRAR 39.8%.

2 Risk-weighted assets

Implied at 68% of total assets from the Sep 2026 CRAR, and held constant. Housing-loan risk weights vary with loan size and loan-to-value, and LAP carries higher weights, so larger tickets and more LAP would raise this ratio.

3 Measurement basis

Capital ratios use closing balances; ROA, leverage and ROE use average balances. The two are shown separately on slide 10.

Indicative CRAR under different risk-weight densities

Risk-weighted assets ÷ assets	Base FY28	Base FY30	Downside FY30
68% (Sep 2026 level)	36%	32%	35%
75%	32%	29%	31%
80%	30%	27%	29%
80%, with 5% of net worth deducted	29%	26%	28%

Every case stays above the 20% NCD covenant and the 15% regulatory minimum. Equity ÷ assets (closing) is 21.5% in the base case at FY30 and 23.5% in the downside.

Source: Aistra outside-in model; HomeFirst Q2 FY27 investor presentation (CRAR 39.8%, Tier 1 39.4%, net worth ₹4,665 Cr). Indicative CRAR = closing net worth less any deduction ÷ (risk-weight density × closing total assets).

Two supports under today's margin will weaken: surplus equity, which lifts NIM to 6.0%, and insurance fees under a draft rule

1. Surplus equity lifts NIM above spread

Interest-earning loans, % of average assets

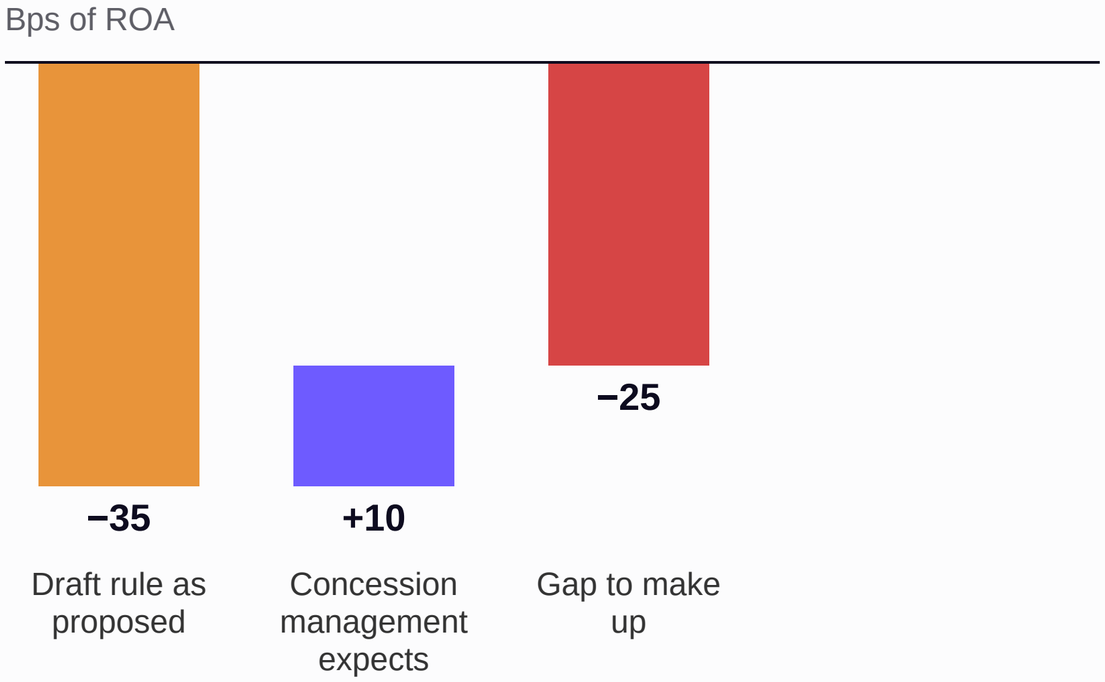
88.9%

Interest-bearing borrowings, % of average assets

70.4%

Equity funds the 18.5-point gap at no interest cost, so **NIM is 6.0%** against a **5.2% spread**. As leverage rises towards the 16% ROE target, NIM drifts back towards spread.

2. The insurance rule removes part of fee income



Management's stated levers: more LAP, more loan sales, small price or fee changes. After the concession the gap is 25 bps; management expects to recover about 20 of it, leaving about 5.

Source: HomeFirst investor presentation Q2 FY27, ROE tree (average interest-earning assets and interest-bearing liabilities); Q2 FY27 earnings call, 28 Oct 2026 (insurance rule). 25 bps of ROA ≈ ₹41 Cr of PAT a year.

Peer KPIs: HomeFirst leads on growth and cost and trails on spread and asset quality; periods and bases differ

Lender	Period	AUM growth	Spread	Opex ratio	Credit cost	Gross Stage 3	ROA	ROE	States
HomeFirst	Q2 FY27	27%	5.2%	2.6% (assets)	0.4%	1.7%	4.2%	14.9%	13
Aavas	Q2 FY27	16%	5.0%	3.3% (assets)	0.24%	1.11%	3.3%	13.6%	15
Aadhar	Q1 FY27	18%	5.8%	n.d.	0.4%	1.31%	4.0%	14.7%	22
India Shelter	Q1 FY27	24%	6.6%	4.0% (AUM)	0.5%	1.5%	5.8%	17.5%	15
Aptus	Q1 FY27	21%	9.0%	2.7% (AUM)	0.5%	1.7%	7.8%	20.4%	5

Read as directional. Quarterly credit costs are seasonal (Aadhar's full-year guidance is 0.23–0.25%), and opex ratios use different denominators.

Source: company results and investor presentations. n.d. = not disclosed. Refresh after Q2 FY27 results for Aadhar (5 Nov 2026), India Shelter and Aptus.

Peer practices worth testing for fit with HomeFirst's own franchise

Peer	Practice	Evidence	Fit question for HomeFirst
Aavas	Monthly field-productivity tracking; tight collections on a harder book	1.25 files per officer per month in Q2; Gross Stage 3 1.11% with 62% self-employed borrowers	Can RM Pro data support the same tracking without adding reporting load?
Aadhar	State diversification; stage-gated new branches	22 states, no state above 15% of AUM; new branches productive in 9–15 months	Does a stage gate suit HomeFirst's slower self-construction markets?
Aptus	Risk-based pricing; explicit ROE-tree management	Yield about 17%; declines loans below ₹7 lakh; discusses its ROE tree on calls	Which segments could bear risk-based pricing within HomeFirst's credit policy?
India Shelter	In-house sourcing	₹10 lakh ticket at 52% LTV; 6.6% spread	Connector sourcing is a strength: where would in-house sourcing add, not replace?

Source: Aavas Q2 FY27 call; Aadhar Q1 FY27 call and Chola Securities initiation; Aptus Q4 FY26 and Q1 FY27 calls; India Shelter Q1 FY27 results.

Six areas to investigate, each with an alternative reading that public data cannot rule out

Area	Observed metric	Concern it could indicate	Alternative reading
Sourcing	77% of leads from about 4,400 connectors; payouts inside yield	Sourcing cost not visible in opex	Broad, variable-cost distribution is a strength
Underwriting	40% of logins reach sanction; 48-hour approvals 87% vs 91% in FY23	Conversion or turnaround slipping	Screening discipline; more complex files as tickets rise
Disbursal	Co-lending ₹1.8 Cr in Q2 vs ₹46 Cr in Q1	Lost off-book income	Temporary pause while partners adopt new RBI rules
Servicing	App logins 40% of active customers, from 46%	Weaker engagement	Customers who need nothing from the app
Collections	Bounce rate 16.6% in October, 15.6% in Q2	Early stress	Calendar effect; last October was higher
Pricing	Repricing after a 10–15 bps funding move	Spread lag in a rising-rate cycle	Avoids frequent small changes for customers

Source: HomeFirst Q2 FY27 investor presentation; Q1 and Q2 FY27 earnings calls.

Pilot arithmetic: two pilots can be sized from public data; the third needs HomeFirst's connector data

	Pricing and repricing	Collections early warning	Connector economics
Eligible exposure	New disbursals about ₹6,600 Cr a year; whole loan book (₹14,560 Cr average) after about three years (illustrative ramp: new loans replace the book through repayment, prepayment and growth)	Credit cost ₹15.4 Cr in Q2 × 4 = ₹62 Cr a year	Payout cost and early default by connector: not disclosed
Assumed effect	5–10 bps of yield retained	5–15% lower credit cost	To be sized
Pre-tax, steady state	₹7.3–14.6 Cr	₹3.1–9.2 Cr	–
PAT at 23.4% tax, steady state	₹5.6–11.2 Cr	₹2.4–7.1 Cr	–
Year one (planning assumption)	₹1.3–2.5 Cr: new disbursals only, about ₹3,300 Cr average outstanding (₹6,600 Cr disbursed evenly through the year)	About a third: ₹0.8–2.4 Cr	–
Evidence needed	Price response and early default by segment	About 12 months of vintage roll rates	Connector payout and default data
Cost	To be priced in the diagnostic	To be priced	To be priced

Source: Aistra outside-in estimates on HomeFirst Q2 FY27 ROE tree. Ranges are hypotheses to validate, not commitments.

Six further hypotheses for a later wave, unsized until the first three pilots report

Hypothesis	Lever	Why it may matter	Why it waits
RM productivity copilot	Opex, growth	Disbursal per employee flat for three years; staff must nearly double	Overlaps connector and collections pilots; size after them
Retention and cross-sell	Growth, fees	BT-out already low at 4.4%; top-ups 2–3% of disbursals	HomeFirst's retention process already works
Branch and micro-market planner	Growth, opex	20–25 new branches a year; southern markets turn slowly	Needs branch-vintage data first
Self-employed underwriting depth	Credit, growth	Income and valuation pilots already running	HomeFirst's own Phase 2 covers it
Treasury and ALM	Spread	33 lenders; 20–30% of borrowings benchmark-linked	Folded into the pricing pilot
Co-lending and loan-sale operations	Other income	Co-lending paused under new RBI rules	Partner-dependent

Source: Aistra outside-in review of HomeFirst disclosures.

The Studio reads from the existing data lake and four other systems, adding a value tree layer on top of what exists

Who uses it
Weekly and monthly

- CFO and FP&A
- Business and zonal heads
- Board and investors

What it produces
Built once, then automatic

- Monthly review and board pack
- Scenarios
- Questions in plain language
- Alerts with evidence, investigation prompts and proposed owner

Value tree engine
New: the Aistra layer

- Metric definitions
- Formulas and cuts
- Variance walks
- Scenario logic

HomeFirst systems
Already in place

- Loan management and CRM
- CDC data lake
- Treasury and borrowings
- Connector and RM apps
- Budget files

Build in waves

Discovery, 4 weeks
Tree workshop on the MIS pack; metric owners; data check

Wave 1
Value tree and financial MIS

Wave 2
Operating MIS and alerts

Wave 3
Board pack and questions in plain language

Waves 1–3 run over 3–6 months, each live before the next.

Source: Aistra Value Tree Studio specification; HomeFirst Q2 FY27 investor presentation (cloud platform, CDC data lake, Tableau dashboards). Timeline is Aistra's standard plan, to be confirmed in discovery.

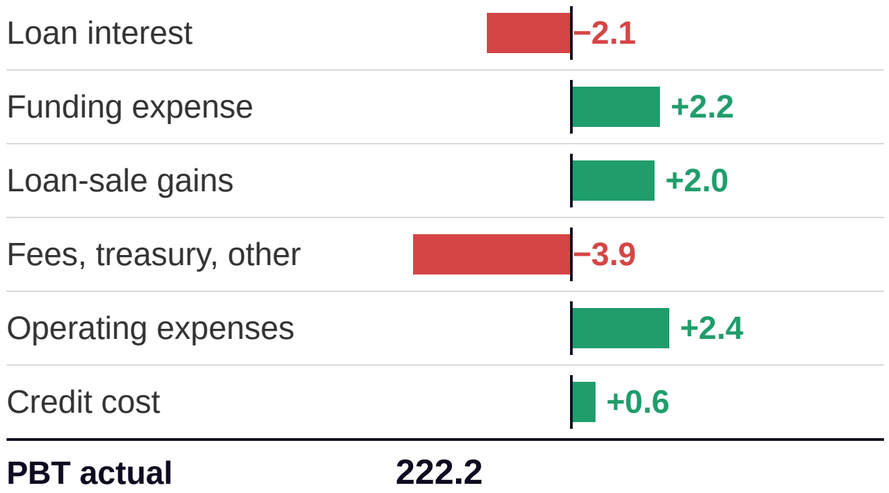
ILLUSTRATIVE

In a monthly review, the platform walks from plan to actual by line and flags the units behind the gap, with a proposed owner

HomeFirst value tree · Q2 FY27 against plan (illustrative) — Business · Operating · Board · Branch & channel

₹ Cr · effect on PBT vs plan (+ favourable)		
PAT	**170.2**	**+0.9**
PBT	**222.2**	**+1.2**
Net total income	**343.2**	**−1.8**
Net interest income	**246.1**	**+0.1**
Loan-sale gains	**35.1**	**+2.0**
Fees, treasury, other	**62.1**	**−3.9**
Operating expenses	**105.6**	**+2.4**
Credit cost	**15.4**	**+0.6**

Why did PBT beat plan by ₹1.2 Cr?



ALERT A7 Illustrative data

Cluster H and Cluster I disbursed 15% and 16% below plan

Observed: H ₹119.3 Cr against ₹140.0 Cr; I ₹102.3 Cr against ₹122.5 Cr

Next: review branch vintage, staffing and login pipeline before drawing conclusions

Proposed owner: zonal business heads

Note: from the HomeFirst prototype. Actuals are Q2 FY27 public figures (₹ Cr); the plan and the branch-cluster data are synthetic and labelled as such in the platform. Alerts state what is observed, not its cause.

A five-role Pod works inside HomeFirst's platform and model governance, and hands each build to a named HomeFirst owner

AI Deployment Manager
One accountable owner; runs the initiative pipeline against bps targets

FD Consultant
Lending P&L: ties each build to a lever on the value tree

AI and Data Engineer
Works on the CDC data lake and shared feature store

FD Engineer
Ships into HomeFirst's stack through its release gates

FD Operators
Run the workflows daily until HomeFirst owners take over

Inside HomeFirst's governance
Independent validation, drift checks, audit trail and kill switch apply to every Pod release

Credit stays human
Models prepare evidence; underwriters and collectors decide

Built to hand over
Each build has a named HomeFirst owner from day one and transfers when it meets its target

Source: Aistra Talent operating model (FDC, FDE, AIDE, FDO roles); HomeFirst Q2 FY27 investor presentation (model governance, release gates).

Diagnostic schedule: six weeks from kick-off to a go or no-go on each pilot

Activity	Owner	Wk 1	Wk 2	Wk 3	Wk 4	Wk 5	Wk 6
Kick-off; data request; MIS pack received	CFO office						
Value tree build and reconciliation	Aistra						
Pilot baselines: pricing, collections, connectors	IT, risk, Aistra						
Data-readiness verdict per pilot	Head of IT						
Business cases and costs	Aistra, CFO office						
Go or no-go review	CFO, Deputy CEO						

Proposed start week of 16 November 2026 if the decision is taken in the week of 9 November; dates and owners for discussion.